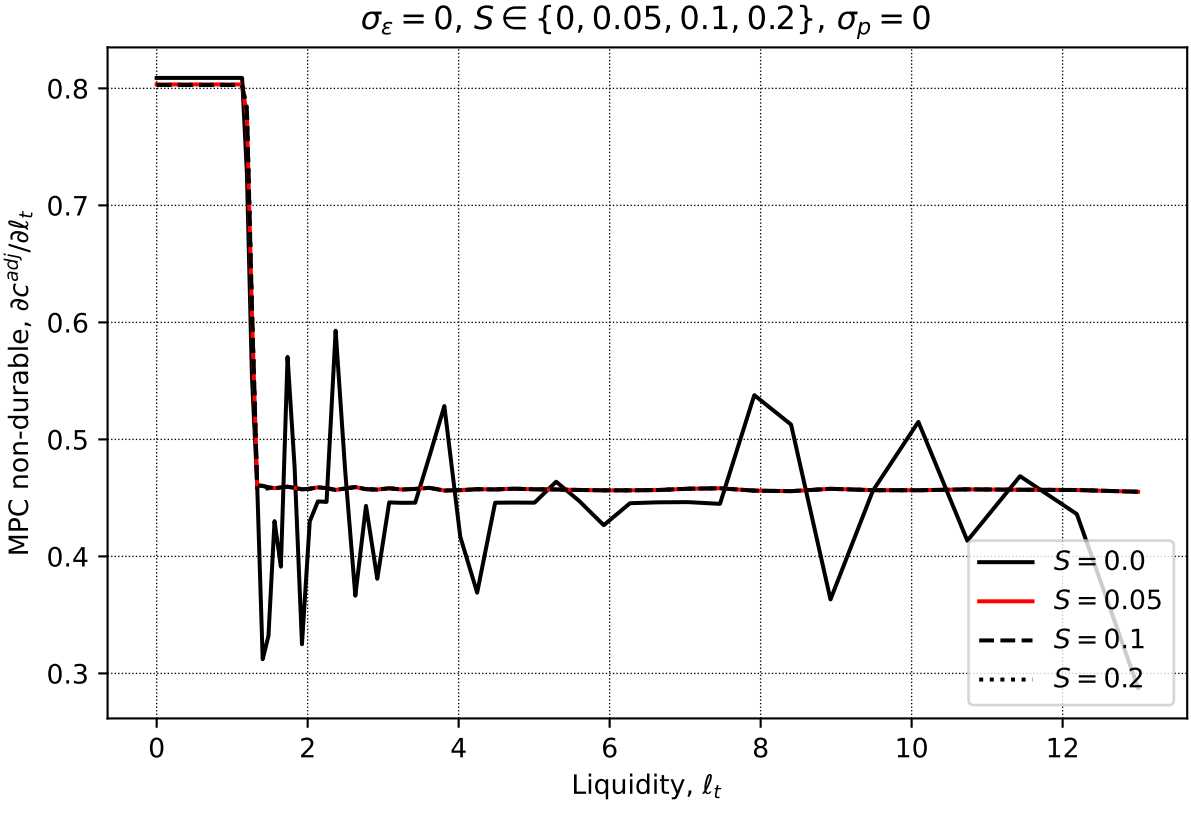
$\sigma_\varepsilon = 0$, $S \in \{0, 0.05, 0.1, 0.2\}$, $\sigma_p = 0$
MPC non-durable, $\partial c^{adj}/\partial \ell_t$
Liquidity, ℓ_t
0.8
0.7
0.6
0.5
0.4
0.3
0
2
4
6
8
10
12
$S = 0.0$
$S = 0.05$
$S = 0.1$
$S = 0.2$